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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education
Advanced Level

ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

October/November 2011

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zawak Mushtaq

Solved with reasons

This document consists of **10** printed pages and **2** blank pages.

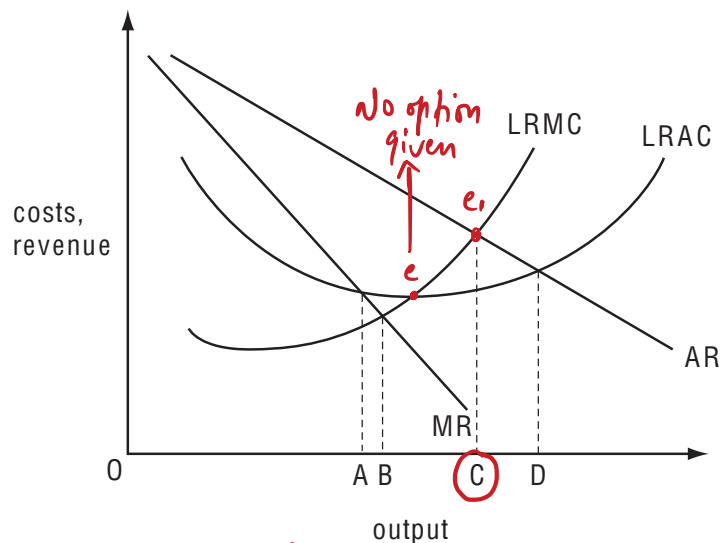


Willingness to pay reduces, concept of consumer surplus

1 Why does a normal demand curve for a product slope downwards from left to right?

- ☒ A Buyers' additional satisfaction declines as consumption rises. (*Diminishing marginal utility*)
- B Consumers are faced with choices between competing products.
- C Sellers are willing to accept lower prices on larger orders.
- D The average cost of production falls as the scale of production increases.

2 The diagram shows a firm's long-run cost and revenue curves.



At which level of output is the firm both allocatively and productively efficient?

- A OA
- B OB
- ☒ C OC
- D OD

3 To prevent a surplus of milk, each milk producer is given a production quota which specifies the volume of milk he is allowed to supply.

Initially the quotas are not tradable, but then trade in quotas is allowed.

Who would gain or lose when trade in quotas takes place?

	purchasers of quotas	sellers of quotas
☒ A	gain ✓	gain ✓
B	gain ✓	lose
C	lose	gain ✓
D	lose	lose

It's like selling the market share
Both parties gain!

Real income

↑↑ 3

income and substitution effect

↑↑

- 4 For the purposes of measuring the income effect of a change in the price of a good, what is not held constant?

- A consumer preferences
B relative prices
C the consumer's money income
☒ D the consumer's real income

Transfer earnings are the minimum reward required to keep factors of production, such as labour, in its current occupation.

Transfer earning

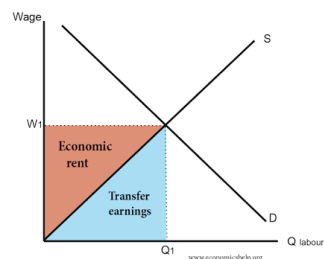
- 5 An actor is paid \$100 000 a year. The next best paid job he could get is as a lecturer at \$60 000 a year.

above transfer earning

What are his transfer earnings and his economic rent?

	transfer earnings	economic rent
☒ A	\$60 000	\$40 000
B	\$60 000	zero
C	\$40 000	\$60 000
D	\$40 000	zero

Economic Rent and Transfer Earnings. Transfer earnings are the minimum income a worker needs in order to supply their labour. Economic rent is the extra income a worker receives – above the minimum level they need in order to work.



- 6 The table shows the labour market for an economy in four separate years.

$D_L > S_L$

In which year was there excess demand in the labour market?

	working population (millions)	unemployment rate (%)	job vacancies (thousands)
A	19	1.0 ✓	180
B	19	2.0	80
☒ C	20	1.1 ✓	240 ✓
D	20	1.5	100

⇒ More jobs, less workers

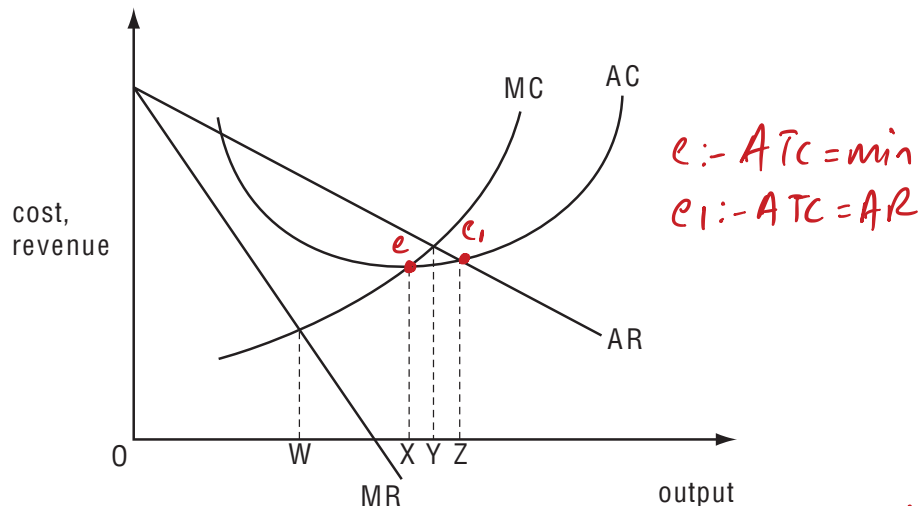
Low

High

10 Which would be least likely to practise price discrimination?

- ☒ A a baker *Small firm, existence of knowledge*
 B a cinema *different timings*
 C a hairdressing salon *individual dealing*
 D a restaurant *different timings*

11 The diagram shows the cost and revenue curves of a monopoly.



Which movement between levels of output would indicate a wish to change from unit cost minimisation to earning a normal profit? *ATC = AR*

- A W to Y B W to Z C X to W ☒ D X to Z

12 What will increase the likelihood that the firms in an industry will collude to maximise their joint profits? *collusive oligopoly*
Cartel

- A The industry consists of a large number of producers.
 B The industry has many differentiated products.
 C The industry is characterised by rapid technological change.
☒ D There are significant barriers to prevent new firms entering the industry.
↳ firms can't influence the price or output

13 What would economists agree should be the aim of any health care system?

- A to meet all the health care demands of the population *not possible*
 B to provide every patient with the latest and best available treatment *depends on ability of consumers*
 C to provide free medical treatment *(no free lunch, in economics)*
☒ D to secure the maximum health gain from the resources available

↓
Resource allocation

- 14 The government of a country decides to increase the proportion of its tax revenue that it obtains from indirect taxes and to reduce the proportion it obtains from income tax.

Total tax revenue is left unchanged.

What is likely to be the impact on the distribution of income and on work incentives?

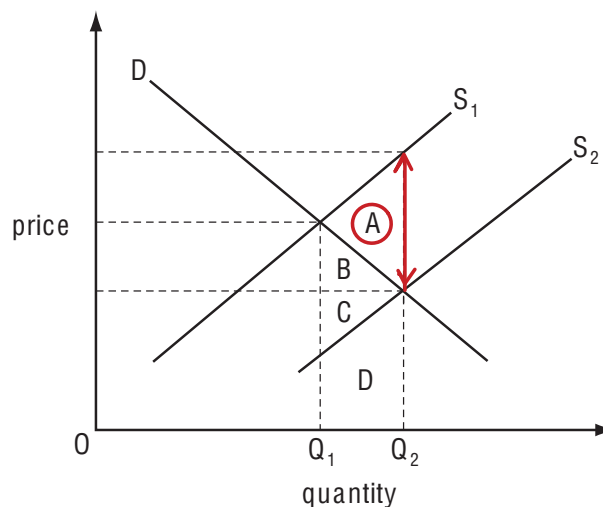
	distribution of income	work incentives
A	less equal ✓	decrease
B	less equal ✓	increase ✓
C	more equal	decrease
D	more equal	increase ✓

⇒ less taken from rich

- 15 The diagram shows the supply and demand curves of a commodity.

A government subsidy causes the supply curve to shift from S_1 to S_2 .

Which area measures the difference between the cost to the economy of producing the resulting increase in output ($Q_1 - Q_2$) and the value consumers place on this increase in output?



- 16 Which change would directly affect a country's Human Development Index?

- A a change in average hours worked by the labour force
~~B~~ a change in life expectancy of the population
 C a change in the level of carbon dioxide emissions
 D a change in the size of the population

⇒ indicator used to measure standard of living

* Real GDP per capita

* longevity (life expectancy), health care

* Education enrollment (literacy rate)

$\hat{G} > \text{Tax revenue}$ 7

- 17 Despite a government budget deficit, a country's money supply remains unchanged.

What could explain this?

- A The country has a balance of payments surplus equal to the government budget deficit.
 B The country's foreign exchange rate is fixed.
 C The government budget deficit is financed by borrowing from the central bank.

☒ D The government budget deficit is financed by selling government bonds to members of the public.

$\hat{G} \Rightarrow m^s \uparrow$

open market sale of Bonds ($m^s \downarrow$)

- 18 In a closed economy, households pay \$0.10 in tax on every \$1 increase in their gross income, and spend $\frac{5}{6}$ of every increase in their disposable income.

mpc

mpt

3 sector

$$\frac{1}{1 - c(1 - t)} \Rightarrow \frac{1}{1 - \frac{5}{6}(1 - 0.1)} \Rightarrow 4$$

What is the value of the multiplier?

- A 1.5 ☒ B 4.0 C 6.0 D 7.5

- 19 The table shows some data for an economy.

$$I + X + G = S + M + T = Y$$

investment \$m	exports \$m	government expenditure \$m	savings \$m	imports \$m	taxation \$m	national income \$m
200	100	50	125	62.5	62.5	600
200	100	50	150	75	75	700
200	100	50	175	87.5	87.5	800
200	100	50	200	100	100	900

What is the equilibrium level of national income?

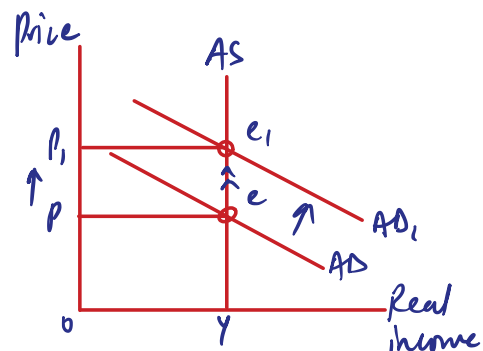
- A \$600m B \$700m ☒ C \$800m D \$900m

- 20 What will be the effect, in the short run, on the price level and on national output of an increase in aggregate demand if firms are working at full capacity?

$\Rightarrow$ potential (output unchanged)

	price level	national output
A	rise ☒	rise
☒ B	rise ☒	unchanged ☒
C	unchanged	rise
D	unchanged	unchanged ☒

$AD \uparrow \Rightarrow \text{Prices} \uparrow$

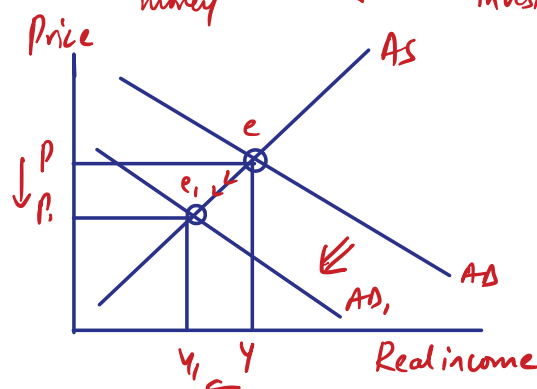




- 22** According to Keynesian analysis, what will be the result of a decrease in the money supply?

- 23 What will be the likely effects on interest rates and bond prices of an increase in the demand for money?

The left graph shows the IS-LM model. The vertical axis is labeled r (interest rate) and the horizontal axis is labeled "Qty of money". The IS curve (labeled I/MC) is downward sloping. The LM curve (labeled MD) is downward sloping. The equilibrium is at point e where the two curves intersect. The right graph shows the IS-LM model. The vertical axis is labeled r (interest rate) and the horizontal axis is labeled "Planned investment". The IS curve (labeled I/MC) is downward sloping. The LM curve (labeled MD) is downward sloping. The equilibrium is at point e where the two curves intersect. The right graph also shows the effect of a monetary expansion, where the LM curve shifts right to MD' , and the equilibrium moves to point e_1 .



$AS \uparrow$, prices $\downarrow$, $X(Tr) \uparrow$, Appreciation
 $\uparrow$

- 24 A developing country experiences a rapid growth in labour productivity.

What is likely to result from this?

- ☒ A an appreciation of the country's nominal exchange rate
 B an increase in the country's balance of trade deficit. BOT surplus
 C an increase in the country's inflation rate $AS \uparrow$, prices $\downarrow$
 D an increase in the country's relative labour costs output per worker $\uparrow$

- 25 A government currently has a balanced budget. It is considering the possible variations in tax revenue and government expenditure shown.

options	tax revenue	government expenditure
☒ W	increase	increase
☒ X	increase	reduce
Y	reduce	increase
☒ Z	reduce	reduce

can be surplus or deficit

surplus

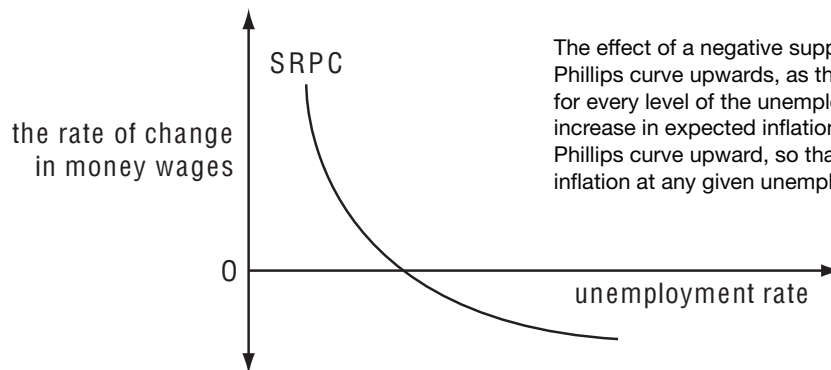
deficit

can be surplus or deficit

Which three options have the potential to move the budget into surplus?

- A W, X and Y ☒ B W, X and Z C W, Y and Z D X, Y and Z

- 26 The diagram shows an economy's short-run Phillips curve (SRPC).



What is assumed to remain constant when drawing this curve?

- A the average price level
 B the exchange rate
☒ C the expected rate of inflation (it shifts)
 D the money supply

The Phillips Curve Shifts to the Left. For example, when inflation expectations go down, the short run Phillips Curve shifts to the left. When the price of oil from abroad declines, the short run Phillips Curve shifts to the left. Aggregate supply increases cause a leftward shift in the Phillips Curve.

A, B and D affect 'AD'

According to economists, there can be no trade-off between inflation and unemployment in the long run. Graphically, this means the Phillips curve is vertical at the natural rate of unemployment, or the hypothetical unemployment rate if aggregate production is in the long-run level.

- 27 The economy of a country is simultaneously experiencing a balance of payments deficit, a budget deficit, demand-pull inflation and unemployment. The government decides to cut personal income taxes.

What does this suggest is its main macroeconomic objective?

- A to improve the balance of payments position, *it will be negative*
 B to reduce the budget deficit *It will rise, more income, so more imports*
☒ C to reduce the level of unemployment *AD↑ Un↓*
 D to reduce the rate of inflation *It will rise*

↓
 Tax ↓
 Disposable income ↑
 C↑ AD↑
 Unemployment ↓

- 28 What is not a valid economic argument for developing economies to pursue a policy of import substitution?

- A to embark on industrialisation as a basis for export-led growth *valid*
 B to exploit their relative abundance of labour in order to produce labour intensive manufacturing goods *valid*
☒ C to increase the opportunities for exporting goods in which they already have a comparative advantage
 D to reduce their dependence on a narrow range of primary products *valid*

↓
 No need of policy when you have the advantage.

- 29 Assuming no change in tax rates or tax-free allowances, for which tax would the amount paid in tax become a smaller proportion of taxpayers' income during a period of wage and price inflation?

- A a progressive income tax *(Higher proportion)*
☒ B a specific tax on tobacco *(Regressive)*
 C capital gains tax
 D value added tax

A regressive tax is a tax applied uniformly, taking a larger percentage of income from low-income earners than from high-income earners. It is in opposition to a progressive tax, which takes a larger percentage from high-income earners.

- 30 An economy has a flexible exchange rate. It raises interest rates above the level existing in other countries.

What will be the likely effect on the level of domestic demand for goods and services and on the demand for the country's exports?

	domestic demand	export demand
☒ A	decrease ✓	decrease ✓
B	decrease ✓	increase
C	increase	decrease ✓
D	increase	increase

↳ ↑ same ↑
 spend ↓
 Demand ↓

↳ ↑, Appreciation,
 X prices ↑, X (TR) ↓,
 Demand ↓